

July 30, 2026 08:30 AM GMT

Hongfa Technology Co Ltd | Asia Pacific

Market Leadership + Broad Solid Demand = Strong Growth

AlphaSignals Earnings Reaction

- Strengthens our thesis
Impact to our thesis
- ↑ Modest upside
Financial results versus consensus
- ↑ Modest revision higher
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Hongfa's 2Q26 earnings beat both MSe and consensus. Strong pricing power, market leadership, broader relay applications and new products, and an underappreciated AI beneficiary angle could support a re-rating. Reiterate OW.

Key Takeaways

- Management is more optimistic on full-year growth, despite no new guidance, citing strong backlog, ongoing expansion in new products and applications.
- MSe is above guidance (revenue +28% and NP +30% YoY in 2026); with NP +30% YoY in 2027, on strong pricing power and further market share gains.
- New energy, HVDC and industrial relays were the fastest growing segments, followed by home appliances. Other segment also seeing decent growth.
- New products are seeing penetration in broader applications, management is also considering expansion in AIDC.

2Q26 revenue of Rmb5.9bn (+36% YoY/+16% QoQ) and NP of Rmb672mn (+21% YoY/+39% QoQ) beat MSe and consensus. Order backlog hit a record high after 1Q26 earnings, with most segments covered for 3–6 months and some orders extending into 2027. GPM recovered 1.1ppt QoQ to 33.2%, despite being down 1.5ppt YoY. NPM improved 1.9ppt QoQ to 11.4% albeit still down 1.3ppt YoY. Together with price hikes and high utilization, margin recovery should continue in 2H.

Adversity reinforced market leadership, now enjoy the ride. Hongfa's share price slumped after the 4Q25 earnings miss. We highlighted this was a short-term drag, with pricing power, sustained market share gains, and new product offerings intact. Since then, the stock's performed strongly, and we see these same factors driving more growth: 1) Price rise more durable than expected amid favorable supply/demand, together with high utilization, supporting faster GPM recovery; 2) High share to capture robust demand across downstream; 3) Active expansion in AIDC, not only relays but broader new products, implying larger TAM.

Lifting earnings and PT, reiterate OW. We forecast 28%/16%/11% revenue growth and 30%/30%/14% NP growth in 2026e-28e, 3-6% and 11-16% above consensus, respectively. Valuation looks attractive at 18x 2027e P/E on MSe, vs. the historical average +1sd at 24x.

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Hongfa Technology Co Ltd (600885.SS, 600885 CG)

China Industrials China				
Stock Rating	Overweight			
Industry View	In-Line			
Price target	Rmb48.00			
Up/downside to price target (%)	41			
Shr price, close (Jul 29, 2026)	Rmb33.98			
52-Week Range	Rmb40.41-23.35			
Sh out, dil, curr (mn)	1,469			
Mkt cap, curr (mn)	Rmb49,933			
Avg daily trading value (mn)	Rmb680			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.20	1.48	1.92	2.19
Revenue, net (Rmb mn)	17,202	22,053	25,631	28,345
ModelWare net inc (Rmb mn)	1,758	2,291	2,978	3,387
P/E	25.3	22.9	17.7	15.5
P/BV	3.5	3.5	2.9	2.4
ROE (%)	18.5	18.1	19.7	18.5
EV/EBITDA	11.5	10.6	8.7	7.4
Div yld (%)	2.0	1.0	1.3	1.7
Leverage (EOP) (%)	(44.2)	(30.7)	(30.8)	(33.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Exhibit 1 : What's changed

Hongfa (600885.SS)	Old	New
Price Target	Rmb43	Rmb48

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

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Earnings Summary and Briefing Takeaways

Robust order backlog, with some segments covering into 2027: Order backlog hit another record high after [1Q26 earnings](#). Most segments have 3–6 months of coverage, with some already extending into 2027.

Strong momentum across business lines: 2Q26 revenue accelerated to Rmb5.9bn (+36% YoY / +16% QoQ). New energy, HVDC and industrial relays were the fastest growing segments, with home appliances also growing strongly. Other segment also saw decent double-digit growth, per our estimate (*please refer to our model for detailed subsegment numbers*)

1. **New energy relay** momentum continued, driven by ESS and demand for renewable energy.
2. **Industrial relay** was supported by new energy, semis, localization, and overseas demand recovery.
3. **HVDC relay** market share expansion continued, per management. Demand is strong in China, Europe, and the rest of Asia. While the US was relatively weak, it grew QoQ in 2Q26. Increasing 800V penetration supports higher value per vehicle.
4. **Home appliance** showed a strong growth +40%, relay implemented early price hikes; we estimate pricing drove about half of 1H26 growth. Management also noted strong downstream demand. Prior raw material inflation disproportionately pressured smaller competitors, reducing competition for Hongfa.
5. **Power relay** benefited from accelerating demand in Europe and State Grid.
6. **Traditional auto relay** shipment accelerated QoQ in 2Q26 with price hikes taking effect.

- **New non-relay products** also grew strongly, driven by broader applications.

2Q26 GPM recovered sequentially (+1.1ppt QoQ), although it is still down by 1.5ppt YoY, supported by lower raw material prices, higher utilization, better scale, and effective price hikes. Management expects the margin recovery to continue, and is optimistic about returning to a normalized level of ~35%, supported by durable price hike, lower raw material price and high utilization.

Price hikes are likely to continue with the demand-supply dynamics. We estimate an average 10% price hike across Hongfa's product line so far, with room for further increases in 2H26. Although Hongfa previously negotiated a cost-linked mechanism, demand/supply conditions are favorable. Therefore, 3Q26 will likely maintain increased prices even if costs fall. In some supply-constrained categories, for example auto relays, management expected to see another hike in July.

Management is confident in its full-year growth forecast, given the strong backlog, robust demand across business lines, high utilization, and continued expansion in new products and applications.

AIDC opportunity for relays and beyond relays. During 2Q26, Hongfa delivered samples

and began optimization with clients, including power suppliers, transformer suppliers, and hyperscalers. Hongfa's switchgear has begun verification in some Southeast Asian AIDC. Meanwhile, recent customer engagement suggests a broader addressable market across new products, such as switchgear, capacitors, and connectors. For 800V AIDC architectures, downstream solutions remain diverse and the timeline is uncertain, ranging from 4Q26 to 2028, according to client feedback.

Exhibit 2: Financial Summary

	2Q25	3Q25	4Q25	1Q26	2Q26	2Q26 YoY	2Q26 QoQ	1H25	2H25	1H26	1H26 YoY
Revenue	4,364	4,567	4,288	5,108	5,914	36%	16%	8,347	8,855	11,022	32%
COGS	(2,851)	(2,952)	(2,857)	(3,469)	(3,952)	39%	14%	(5,489)	(5,809)	(7,420)	35%
Gross Profit	1,513	1,615	1,432	1,639	1,963	30%	20%	2,858	3,046	3,602	26%
Business Tax and plus	(35)	(29)	(32)	(43)	(41)	16%	-6%	(74)	(60)	(83)	13%
Selling exp.	(130)	(125)	(197)	(133)	(152)	17%	15%	(246)	(322)	(285)	16%
G&A exp.	(546)	(702)	(795)	(691)	(734)	34%	6%	(1,130)	(1,497)	(1,425)	26%
Operating Profit	802	759	407	773	1,036	29%	34%	1,408	1,167	1,808	28%
Asset impairment Loss	(3)	6	(18)	(54)	(67)	2516%	23%	(43)	(12)	(121)	181%
Investment Gains	(0)	(5)	15	29	19	-5771%	-33%	6	10	48	746%
Financial expenses	14	(35)	(61)	(59)	(45)	-418%	-23%	12	(96)	(104)	-971%
Profit before tax	841	780	436	737	980	17%	33%	1,473	1,216	1,717	17%
Tax	(107)	(112)	(43)	(98)	(103)	-3%	5%	(194)	(155)	(201)	4%
Net profit	734	668	392	639	877	19%	37%	1,279	1,060	1,515	18%
Minority	(181)	(162)	(104)	(154)	(205)	13%	33%	(315)	(267)	(359)	14%
Net profit to shareholders	553	506	288	484	672	21%	39%	964	793	1,156	20%
Margins											
Gross Margin	34.7%	35.4%	33.4%	32.1%	33.2%	-1.5%	1.1%	34.2%	34.4%	32.7%	-1.6%
Business tax as % of Rev	0.8%	0.6%	0.7%	0.8%	0.7%	(0.1%)	(0.2%)	0.9%	0.7%	0.8%	-0.1%
S&G as Rev	3.0%	2.7%	4.6%	2.6%	2.6%	(0.4%)	(0.0%)	2.9%	3.6%	2.6%	-0.4%
Admin as Rev	12.5%	15.4%	18.5%	13.5%	12.4%	(0.1%)	(1.1%)	13.5%	16.9%	12.9%	-0.6%
OP Margin	18.4%	16.6%	9.5%	15.1%	17.5%	(0.9%)	2.4%	16.9%	13.2%	16.4%	-0.5%
PBT Margin	19.3%	17.1%	10.2%	14.4%	16.6%	(2.7%)	2.1%	17.6%	13.7%	15.6%	-2.1%
Effective tax rate	12.7%	14.4%	10.0%	13.3%	10.5%	(2.2%)	(2.8%)	13.2%	12.8%	11.7%	-1.5%
Minority interest	4.2%	3.6%	2.4%	3.0%	3.5%	(0.7%)	0.4%	3.8%	3.0%	3.3%	-0.5%
Net Margin	12.7%	11.1%	6.7%	9.5%	11.4%	(1.3%)	1.9%	11.6%	9.0%	10.5%	-1.1%

Source: Company data, Morgan Stanley Research

Lifting Earnings Forecast; Raising PT to Rmb48

We raise our revenue forecast by 5%/6%/6% for 2026e-28e, respectively, to factor in the latest results, sustained price hike impact, and strong demand across business lines. Increasing adoption in AIDC and broadening applications would support Hongfa's growth into 2027e-28e, in our view. We lift slightly our 2026e GPM forecast and assume a durable increased price, but lower it for 2027e-28e as we expect supply/demand and the material price to normalize. We lower our expense ratio forecast over 2026e-28e on improved economies of scale. Therefore, our EPS forecast is up 11% over 2026e-28e, respectively.

We continue to use 25x 2027e P/E to derive our new PT of Rmb48 (previously Rmb43). We view 25x as appropriate as it's largely in line with the historical average 2-year forward P/E+1std. This reflects our positive view on Hongfa's strong global business presence, diversified downstream exposure, and continued market share gains supported by rapid product iteration. 800V adoption starting in 2027/28 could provide a higher value growth runway for Hongfa.

Exhibit 3: Revenue Summary

	2025A			2026E			2027E			2028E		
	Actual	YoY	%chg	New	Old	Chg%	New	Old	Chg%	New	Old	Chg%
Revenue												
Relays	15,703	24%		20,292	19,267	5%	23,595	22,130	7%	25,961	24,311	7%
General Relays	4,500	11%		6,045	5,597	8%	6,838	6,122	12%	7,292	6,548	11%
Signal Relays	750	20%		915	885	3%	1,007	974	3%	1,087	1,051	3%
Industrial Relays	1,060	51%		1,325	1,272	4%	1,590	1,450	10%	1,829	1,595	15%
Automotive Relays	7,600	37%		9,884	9,456	5%	11,886	11,379	4%	13,371	12,806	4%
Power Repays	2,200	11%		2,530	2,464	3%	2,682	2,612	3%	2,789	2,716	3%
Electrical Products	758	-4%		871	834	5%	976	934	5%	1,122	1,074	5%
Other	70	52%		84	84	0%	93	93	0%	102	102	0%
Other non-relay business	671	19%		806	806	0%	967	967	0%	1,160	1,160	0%
Total	17,202	22%		22,053	20,991	5%	25,631	24,123	6%	28,345	26,646	6%
Gross Profit	5,904	16%		7,470	7,085	5%	8,841	8,359	6%	9,881	9,351	6%
Selling expenses	568	10%		623	676	-8%	716	770	-7%	783	842	-7%
G&A expenses	2,627	18%		3,254	3,173	3%	3,756	3,610	4%	4,126	3,988	3%
Operating Profit	2,574	14%		3,421	3,072	11%	4,169	3,790	10%	4,751	4,313	10%
Net Profit	1,758	8%		2,291	2,068	11%	2,978	2,676	11%	3,387	3,045	11%
EPS	1.20	-23%		1.48	1.34	11%	1.92	1.73	11%	2.19	1.97	11%
Gross Margin	34.3%	-1.9%		33.9%	33.8%	0.1%	34.5%	34.7%	-0.2%	34.9%	35.1%	-0.2%
Selling exp as % of Rev	3.3%	-0.4%		2.8%	3.2%	-0.4%	2.8%	3.2%	-0.4%	2.8%	3.2%	-0.4%
G&A as % of Rev	15.3%	-0.5%		14.8%	15.1%	-0.4%	14.7%	15.0%	-0.3%	14.6%	15.0%	-0.4%
Operating Margin	15.0%	-1.1%		15.5%	14.6%	0.9%	16.3%	15.7%	0.6%	16.8%	16.2%	0.6%
Net Margin	10.2%	-1.3%		10.4%	9.9%	0.5%	11.6%	11.1%	0.5%	11.9%	11.4%	0.5%

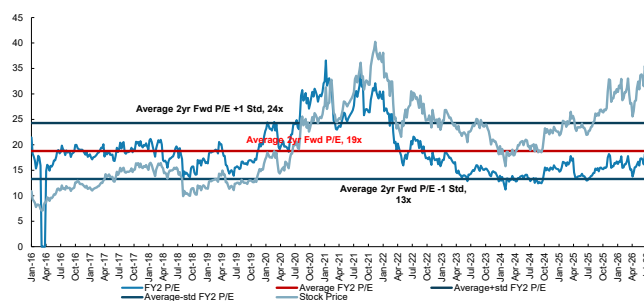
Source: Company data, Morgan Stanley Research estimates.

Exhibit 4: Valuation methodology

	2025A	2026E	2027E	2028E
Net profit (Rmbmn)	1,758	2,291	2,978	3,387
% YoY	8%	30%	30%	14%
EPS (Rmb)	1.20	1.48	1.92	2.19
P/E multiple		32.4x	25.0x	
Equity Value (Rmb mn)			74,443	
Price Target (Rmb)			48.0	

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: FY2 P/E band



Source: Company data, Morgan Stanley Research estimates

Financial Summary

Exhibit 6: Financial Summary

Hongfa Technology Co Ltd

Income Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Revenue	14,102	17,202	22,053	25,631	28,345
Cost of sales and services	(8,996)	(11,299)	(14,583)	(16,790)	(18,464)
Gross profit	5,106	5,904	7,470	8,841	9,881
Business Tax and plus	(109)	(134)	(172)	(200)	(221)
Selling exp.	(518)	(568)	(623)	(716)	(783)
G&A exp.	(2,220)	(2,627)	(3,254)	(3,756)	(4,126)
Operating profit	2,259	2,574	3,421	4,169	4,751
Asset impairment Loss	(34)	(55)	(79)	(86)	(95)
Investment Gains	(25)	16	16	16	16
Non-operating profit	276	234	278	310	329
Non-operating loss	(4)	(9)	0	0	0
Financial expenses	(70)	(84)	(145)	9	(7)
Profit before tax	2,445	2,689	3,491	4,419	4,995
Tax	(282)	(350)	(454)	(574)	(649)
Net profit	2,163	2,339	3,037	3,844	4,345
Minority	(532)	(581)	(745)	(866)	(958)
Net profit to shareholders	1,631	1,758	2,291	2,978	3,387
EPS (Rmb)	1.56	1.20	1.48	1.92	2.19
NP to shareholders - recurring	1,417	1,571	2,263	2,727	3,150
Diluted EPS - recurring	1.34	1.07	1.46	1.76	2.04

Balance Sheet

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Non-current assets	7,784	8,385	8,761	9,776	10,691
PPE	5,254	5,533	6,005	6,669	7,335
Intangible assets	485	468	456	442	432
Other current assets	2,045	2,385	2,300	2,665	2,923
Current assets	12,881	14,979	16,852	19,666	22,666
Cash	1,863	2,261	711	1,258	2,537
Cash Deposits and Equivalents	2,091	1,363	1,363	1,363	1,363
Notes Receivable	1,649	2,132	2,742	3,186	3,524
Account Receivable	3,271	4,144	5,740	6,671	7,378
Prepayments	169	205	264	304	335
Other Receivables	55	56	99	115	127
Inventory	3,487	4,278	5,522	6,357	6,991
Other Current Assets	296	539	411	411	411
Total Assets	20,664	23,364	25,613	29,442	33,357
Current liabilities	4,732	6,207	5,956	6,641	7,120
Short-term borrowing	1,214	602	602	602	602
Notes Payable	626	1,835	879	1,012	1,113
Account Payable	1,693	2,261	2,838	3,175	3,391
Prepayments	1	1	1	1	1
Salary payable	684	886	882	1,025	1,134
Tax payable	153	154	221	256	283
Other current assets	361	468	534	570	597
Non-current liabilities	3,390	1,147	1,147	1,147	1,147
Debt and long term bond	2,565	169	169	169	169
Other Non-current Liabilities	825	978	978	978	978
Non-controlling interests	3,038	3,380	3,380	3,380	3,380
Shareholders' equity	9,504	12,631	15,130	18,274	21,710
Share Capital	1,043	1,548	1,548	1,548	1,548
Additional Paid-in Capital	1,857	3,500	3,500	3,500	3,500
Retained Earnings	6,605	7,583	10,083	13,227	16,662
Total Liabilities and Equity	20,664	23,364	25,613	29,442	33,357

Source: Company data, Morgan Stanley Research estimates

Financial Analysis

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Growth (%)					
Turnover	9%	22%	28%	16%	11%
Operating Profit	-2%	14%	33%	22%	14%
Net Profit	17%	8%	30%	30%	14%
Margins (%)					
Gross Margin	36.2%	34.3%	33.9%	34.5%	34.9%
Selling expenses	3.7%	3.3%	2.8%	2.8%	2.8%
G&A expenses	15.7%	15.3%	14.8%	14.7%	14.6%
Operating Margin	16.0%	15.0%	15.5%	16.3%	16.8%
Net Margin	11.6%	10.2%	10.4%	11.6%	11.9%
Efficiency					
Asset Turnover (X)	0.7	0.7	0.9	0.9	0.8
Inventory Days	141	138	138	138	138
Account Receivables Days	85	88	95	95	95
Account Payable Days	69	73	71	69	67
Return (%)					
ROA	7.9%	7.5%	8.9%	10.1%	10.2%
ROE	17.2%	13.9%	15.1%	16.3%	15.6%
ROIC	19.5%	18.0%	19.9%	20.1%	19.4%
Gearing (X)					
Asset/Equity	2.2	1.8	1.7	1.6	1.5
Total Liabilities/Equity	85%	58%	47%	43%	38%
Total IB Debt/Equity	40%	6%	5%	4%	4%
Net Debt / (cash)	(145)	(2,779)	(1,229)	(1,776)	(3,055)
Valuations (X)					
P/E	17.3	28.2	22.9	17.7	15.5
P/BV	3.0	3.9	3.5	2.9	2.4
EV/EBITDA	8.7	12.4	11.0	9.1	10.5
Dividend Yield (%)	1.9%	1.1%	1.3%	1.7%	2.0%

Cashflow Statement

(Rmb Mn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	2,235	2,969	1,046	3,681	4,743
Investing cash flow	(2,210)	(610)	(2,059)	(2,434)	(2,554)
Financing cash flow	111	(1,951)	(537)	(700)	(910)
Increase in cash	135	408	(1,550)	547	1,279
Effect of FX rate changes	(13)	(10)	0	0	0
Cash and cash equivalents at BOP	1,742	1,863	2,261	711	1,258
Cash and cash equivalents at EOP	1,863	2,261	711	1,258	2,537

E = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Risk Reward – Hongfa Technology Co Ltd (600885.SS)

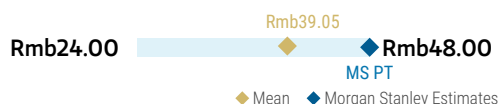
Stronger Through Adversity

PRICE TARGET Rmb48.00

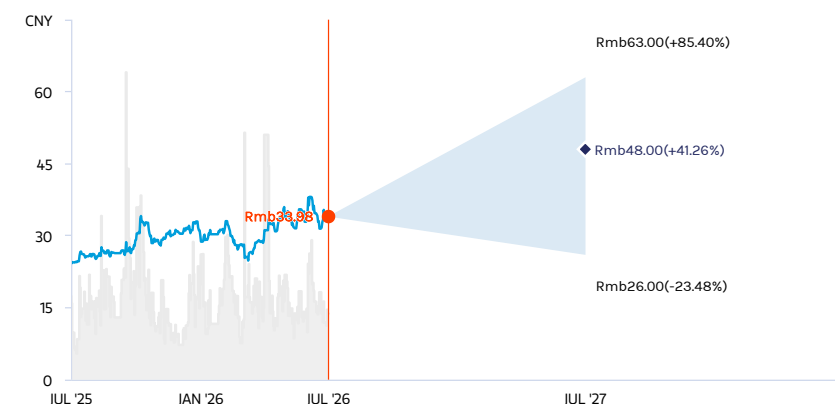
Base case, P/E. We apply FY2 P/E multiple of 25x to 2027e EPS. This is largely in line with the historical average + 1sd, reflecting our positive view on Hongfa's strong global business presence, diversified downstream exposure, and continued market share gains supported by rapid product iteration.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



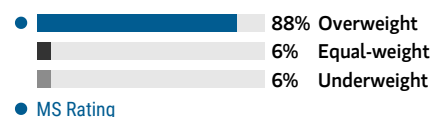
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Hongfa's global market leadership has strengthened further with higher global market share and accelerating growth in its order backlog.
- We think the long-term global electrification thesis and Hongfa's status as a global leader of relay and active new product expansion are intact.
- 800V adoption starting in 2027/28 could provide a higher value growth runway for Hongfa.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Renewable Energy: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb63.00

30x bull-case 2027e EPS

HVDC, automotive and new energy relays show stronger-than-expected growth, with further accelerated ramp-up in new non-relay products and 800V products.

BASE CASE

Rmb48.00

25x base-case 2027e EPS

Strong growth in new energy and HVDC relays to continue, with new products / applications (such as ESS and AIDC) ramping up. Global electrification and market share gain thesis intact.

BEAR CASE

Rmb26.00

18x bear-case 2027e EPS

China's economy slows materially, resulting in lackluster demand for relay products. Rising commodity price and competition to continue, resulting in further margin erosion. Hongfa loses share in its key markets.

Risk Reward – Hongfa Technology Co Ltd (600885.SS)

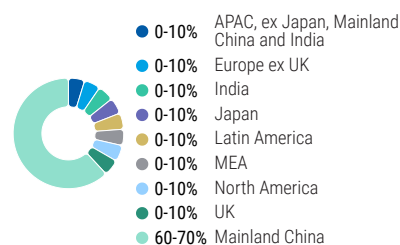
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Relays revenue growth (%)	23.6	29.2	16.3	10.0
Electrical products revenue growth (%)	(4.3)	15.0	12.0	15.0
Gross Margin (%)	34.3	33.9	34.5	34.9

INVESTMENT DRIVERS

- New energy and HVDC demand driving relay growth
- New products gradually ramping up
- Margins recovering

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected growth in AIDC, ESS and new electrical products
- Faster-than-expected commodity price decline
- Faster-than-expected adoption of 800V products

RISKS TO DOWNSIDE

- More intense price competition and rising raw material costs, hampering Hongfa's margin
- Sharp decline in China's property market, resulting in weak home appliance consumption
- Downturn in global EV demand

OWNERSHIP POSITIONING

Inst. Owners, % Active 97.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn)
19,136.0 20,771.1 22,053.5

EBITDA (Rmb, mn)
3,403.2 4,245.7 4,581.0

Net income (Rmb, mn)
1,779.9 2,096.2 2,291.0

EPS (Rmb)
1.1 1.4 1.5

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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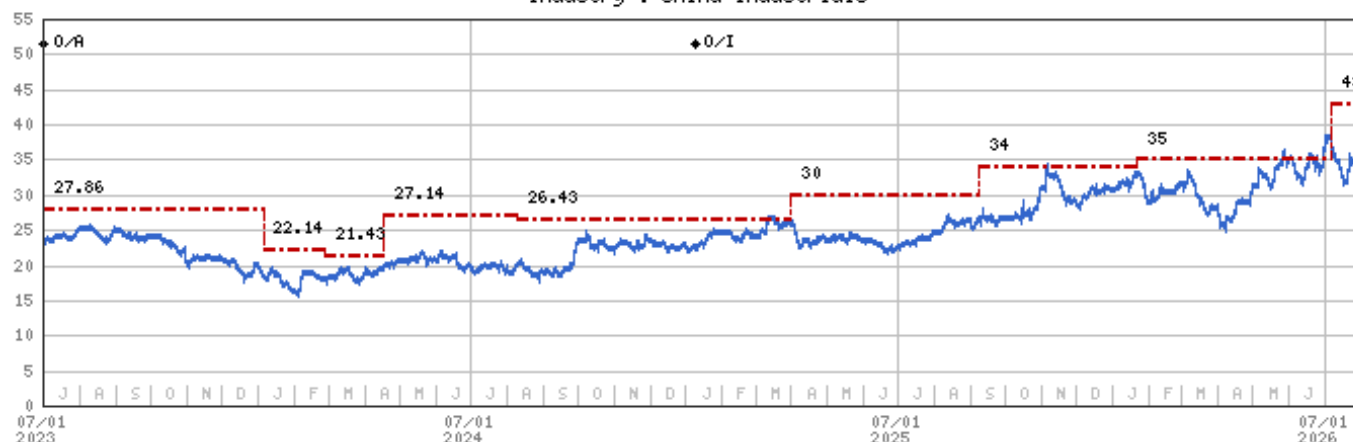
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Stock Price, Price Target and Rating History (See Rating Definitions)

Hongfa Technology Co Ltd (600885.SS) - As of 07/30/26 GMT in CNY Industry : China Industrials



Stock Rating History: 7/1/21 : E/I; 2/4/23 : E/A; 5/23/23 : O/A; 1/8/25 : O/I

Price Target History: 4/30/21 : 30; 8/31/21 : 34.18; 6/30/22 : 26.53; 8/24/22 : 27.86; 1/5/24 : 22.14; 2/27/24 : 21.43; 4/17/24 : 27.14; 8/9/24 : 26.43; 4/1/25 : 30; 9/8/25 : 34; 1/22/26 : 35; 7/7/26 : 43

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/29/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.60
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.61
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.64
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb91.00
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.70
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb86.23
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb43.22
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb102.12
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb52.39
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$9.36
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb14.04
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.25
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.17
DR Laser (300776.SZ)	E (12/17/2021)	Rmb105.89
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb31.06
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$20.84
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb33.98
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb12.79
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb102.93
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb38.43
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb283.66
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb20.40
Shenzhen Inovance Technology (300124.SZ)	++	Rmb61.61
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb57.47
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$41.90
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb161.87
Times Electric (3898.HK)	E (01/22/2026)	HK\$33.68

WeiChai Power (2338.HK)	O (03/30/2026)	HK\$32.12
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb27.29
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb38.37
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb33.41
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb60.48
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb20.90
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb36.20
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$7.62
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.61

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.